



Certified Securities Analyst (CSA) – Research Report
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CSA Batch 67

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Recommendation : BUY
Target Price : IDR 338
Upside : + 11,18%
Current Price : IDR 304
Valuation Date : 20-Sept-2025

Ticker : IPCM
Sector : Infrastructure
Industry : Transport Infrastructure Operator

With a strong fundamental and regulation-supported business, IPCM sails steadily ahead, positioned for resilient growth in Indonesia’s marine logistics sector

Stock Information

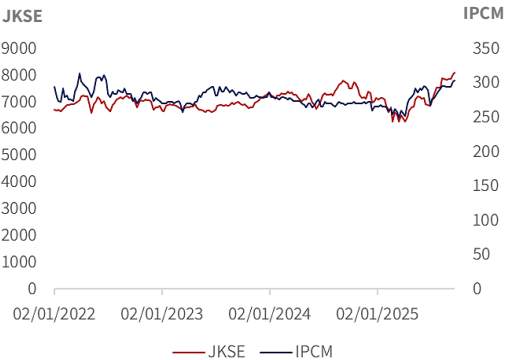
PT Jasa Armada Indonesia Tbk. (IPCM) is a subsidiary of PT Pelindo Jasa Maritim, under the state-owned holding company PT Pelabuhan Indonesia (Persero). IPCM provides a wide range of maritime services including vessel services, fleet management services, freight and other services. IPCM has operated since 1960 and in 1960 and went public via IPO in December 2017.

Shareholders (%)

PT Pelindo Jasa Maritim	76,89
PT Multi Terminal Indonesia	0,11
Publik	23,00

Trading Information

Market cap (IDR bn)	1.540
Shares outstanding (mn)	~ 5.284
52-week range (IDR)	238 – 308
3M avg. daily volume ('000)	~ 1.200
3M avg. daily val. (IDR mn)	~ 360-370



IPCM dan JKSE Closing Price
Source: Yahoo/Finance, IPSH analysis

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RECOMMENDATION

We initiate coverage on PT Jasa Armada Indonesia Tbk. (IPCM) with a BUY recommendation based on our fundamental outlook and a price target of IDR 338 reflecting 11,18% upside, derived using both a discounted cash flow (DCF) analysis and a relative valuation analysis.

Executive Summary

Continuity of strong revenue performance – We expect that IPCM would continue its robust revenue performance supported by the recent positive trend of GDP growth in the sea transport industry. According to Statistics Indonesia, the year-on-year growth of the sea transport industry in the second quarter of 2025 is 9,80% continuing the 6,87% growth in the first quarter. IPCM’s revenue growth also confirms this optimistic expectation. 5-year revenue growth average are 14,57% while the latest trailing-twelve-months (TTM) growth is even higher at 19,25%.

Strategic monopoly and institutional backing – IPCM is the primary provider of pilotage and towage services within state-owned port operator company, Pelindo group, and the newly established national strategic investment body, Danantara Indonesia. This position gives IPCM near-exclusive access to high-traffic maritime corridors ensuring predictable and stable revenue streams, preferential access to infrastructure and expansion zone, alignment with national port development strategies, and a regulatory-protected business model from mandatory service provision under Pelindo’s subholding structure.

The only strong player in a defensive, regulated, and infrastructure-critical industry – IPCM is engaged in pilotage and towage services, which are critical infrastructure functions within port operations. These services are mandatory by regulation for vessel safety and navigation, regardless of cargo type, making the demand of IPCM’s services a non-discretionary demand. Vessels must dock, maneuver, and depart safely. This position is considered defensive due to its essential role in trade facilitation.

Investment on business growth, new opportunities, and operational excellence – Holding a license as a Port Business Entity, IPCM has very great opportunities to expand its service coverage to ports beyond the Pelindo network through investment on business integration, end-to-end marine service standardization, partnership networks, new marine service development, in-house tugboats production, infrastructure and technologies modernization, digitized marine system, and carbon emission reduction.

Highlight and Forecast	2023A	2024A	2Q2025	2025F	2026F	2027F
Revenue (IDR Bn)	1.139	1.345	714	1.477	1.622	1.780
Operating Income (IDR Bn)	184	207	108	228	250	275
EBITDA (IDR Bn)	187	228	166	249	313	344
Net Profit (IDR Bn)	158	167	90	183	201	221
EPS (IDR)	29,88	31,62	17,07	34,71	38,05	41,78
EPS Growth (%)	4,66	5,82	9,77	9,63	9,80	9,80
ROE (%)	12,71	12,94	6,53	13,74	14,50	15,31
ROA (%)	10,36	10,11	5,18	10,72	11,19	11,65
PER (x)	9,37	8,41		11,70	10,67	9,72
PBV (x)	1,19	1,09	1,05	1,61	1,55	1,49
EV/EBITDA (x)	7,22	5,67	8,14	8,09	6,72	6,18
Dividend Yield	7,99	8,90		6,41	7,03	7,72

Business Description

Corporate Identity and History – PT Jasa Armada Indonesia Tbk. is founded in 2013 and commencing commercially on 1 September 2024. The company went public in December 2017 under the ticker IPCM. IPCM is the subsidiary of Pelindo Group and part of the state-owned enterprise under Danantara Asset Management. Pelindo Group owns approximately 77% of IPCM stocks while the remaining 23% is owned by the public and are publicly traded.

Core Business – IPCM provides pilotage and towage services to support activities at Public Ports, TUKS, Tersus, offshore oil and gas, river transport, and ship-to-ship.



Vessel arrival



Piloting and Towing-in



Berthing



Vessel departure

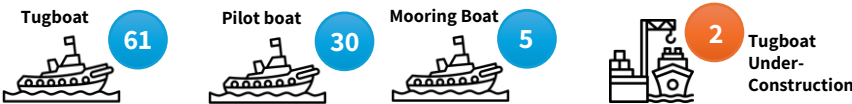


Piloting and Towing-Out



Loading Unloading

Operation Area and Fleet – IPCM operates in 24 areas: 11 ports under Pelindo port business entities. 7 ports/special terminal/ship-to-ship under IPCM port business entities, and 6 joint operation area. IPCM operates 96 fleet units, comprising of 61 tugboats, 30 pilot boats, and 5 mooring boats. IPCM is currently investing in the construction of 2 new Azimuth Stern Drive (ASD) tugboats.



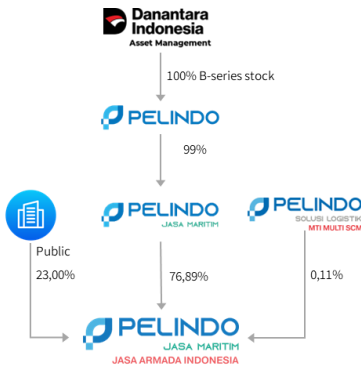
Commodities handle – IPCM provides services across a diversified network of ports tailored to Indonesia’s strategic commodity flows in 23 port locations, of which each commodity is supported by a distinct number of service points.

- Coal is the most widely served commodity, with IPCM operating in 10 ports that handle coal shipments—highlighting its central role in energy logistics.
- Cement and basic needs are each supported by 7 ports, indicating IPCM’s integration with infrastructure and consumer supply chains.
- Plantation products and fertilizer are served by 6 ports, aligning with agribusiness and food security corridors.
- Mining equipment is supported by 4 ports, while CPO (crude palm oil) flows through 5 ports, reflecting IPCM’s reach into resource and export hubs.
- Commodities such as rubber, chemical, and LNG are each served by 2 ports, representing niche but essential service roles.
- Vehicles, electricity machinery, and machinery are handled in 3 ports each, supporting industrial and automotive logistics.
- Nickel and gas, though emerging, are currently supported by 1 port each, with potential for future expansion as demand scales.



IPCM provide tug services for BYD Zhengzhou in 2025 at Tanjung Priok Port

Source: Instagram @pelindo_tanjungpriok



IPCM Ownership Structure

Source: IPCM company presentation September 2025, IPSH analysis



Pelindo port business entities:

1. Tanjung Pandan Port
2. Pangkal Balam Port
3. Jambi Port
4. Teluk Bayur Port
5. Palembang Port
6. Bengkulu Port
7. Panjang Port
8. Banten Port
9. Tanjung Priok Port
10. Cirebon Port
11. Pontianak & Kijing Port

IPCM port business entities:

1. STS Ambang Luar Sungai Musi
2. Tersus PT Cemindo Gemilang Bayah
3. Patimban Subang Port
4. Tersus PT Nusantara

- Regas – Kep Seribu
5. PLTU Kanci I dan II
 6. Tersus PT Jawa Satu Power – Cilamaya
 7. Tersus PT Trimegah Bangun Persada, Laiwul, Halmahera Selatan

Joint Operation

1. Meulaboh
2. PT MBP
3. PT KPS
4. TUKS PT Pelabuhan Bukit Prima
5. Tarakan Port
6. Teluk Weda, Halmahera Tengah

Source: IPCM company presentation September 2025

Company Strategic Position

- **Strong competitive positioning as the main servicer in the Priok Port (23rd in the world, 3rd in the South East Asia, 1st in Indonesia)**
- **Operating expansion following the commodity trade, particularly nickel.**
- **Revenue diversification outside Pelindo group**

Strength

- **Dominant market position:** As the subsidiary of state-owned port company, IPCM holds a strong position in the Indonesia maritime service industry. Moreover, it is the only publicly-traded pilotage and towage service company in the Indonesia Stock Exchange
- **Essential and mandated services:** The pilotage and towage service provided by IPCM are mandated by regulation for vessels over a certain size, ensuring stable demand thus strong recurring revenue stream
- **Consistent financial performance:** Over the years, IPCM has demonstrated robust financial performances and financial position implying a reliable management performance and resilient business model.
- **Fleet and operational readiness:** The company possesses a large fleet of tugboats, pilot boats, and other vessels, along with expertise in port operations.

Weaknesses

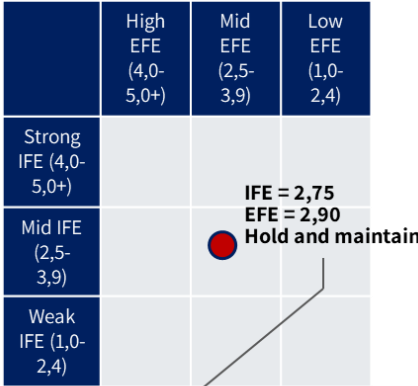
- **Revenue concentration risk:** Albeit recent diversification, a significant portion of IPCM's revenue is derived from its parent company, Pelindo. This creates a risk of concentration and vulnerability if Pelindo's policies or operations change.
- **Capital intensive nature:** Operating and maintaining a large fleet of vessels requires continuous, substantial capital expenditure, which can strain cash flow. It is a significant financial burden that needs careful
- **Operational risk:** The maritime industry is inherently risky, with several constant and un-ignorable risk regarding potential for accidents, equipment failure, and weather-related disruptions

Opportunities

- **Growth of domestic shipping industry:** The government's focus on developing maritime infrastructure and sea tolls provides a massive opportunity for increased port activity and demand for IPCM's services.
- **Strategic business expansion:** Clear strategy for expansion, including strategic collaboration and partnership, operational areas expansion utilizing its port operator license, and development of new product and services.
- **Synergy and consolidation within Danantara and SoE environment:** The government's push for synergy among state-owned enterprises (SOEs) allows IPCM to collaborate with other Pelindo Group companies or other SOEs, creating new business avenues
- **Technology and green adoption:** Development of IT systems focusing on operational efficiency and service excellence and a proactive approach to environmental, social, and governance (ESG) principles, which are critical for sustainable growth.

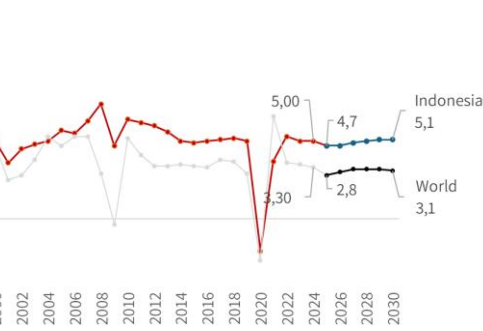
Threats

- **Global economy and geopolitical turmoil:** As a service provider in the trade sector, the company performance is sensitive to fluctuations in global and national trade volumes
- **Competition from private port operator:** The rise of other Port Business Entities (BUP) and private maritime service providers creates a competitive threat, potentially leading to price pressure.
- **Technological disruptions:** The advancements in autonomous vessels or other maritime technologies could pose a long-term threat to traditional services that needs to be monitored and planned for.

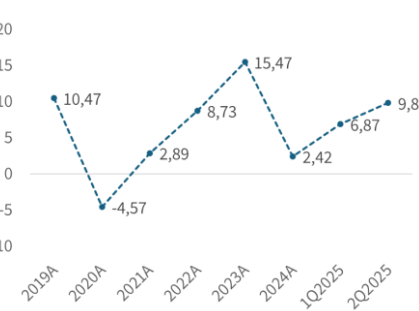


The intersection of Mid-IFE and Mid-EFE places the company in the "Hold and Maintain" quadrant of the IE Matrix. This strategic position suggests that the company should focus on holding its current market position aiming improving efficiency and operational effectiveness.

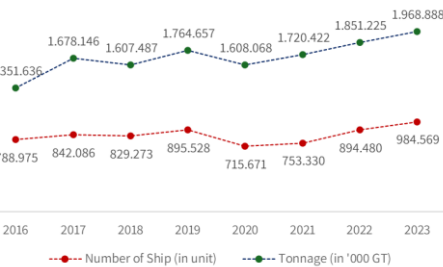
IPCM Strategic Position
Source: IPSH analysis



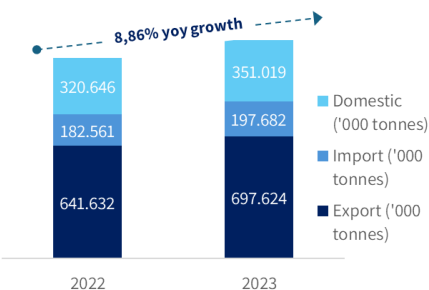
World and Indonesia Annual Economic Growth (Actual and Outlook) - in percent
Source: World Bank, IPSH analysis



GDP Growth of Sea Transport Sector - in percent
Source: BPS, IPSH analysis



Domestic and International Ship Call
Source: BPS, IPSH analysis



Sea Transport Freight Statistics
Source: BPS, IPSH analysis

Macroeconomic and Industry Analysis

Expectation of slowing global economic growth – Based on the World Bank study, the global economy recorded 3,3% annual growth in 2024, marking the lower growth since 2021. The global economy is expected to further decelerate amid substantial rise in trade barriers and the pervasive effect of an uncertain global policy environment. The expected growth in 2025 is expected to weaken to 2,8% in 2025, marking the slowest rate of economic growth post 2008 global financial crisis, excluding year 2020. The world economy is expected to grow in a steady manner with 3,1% expected annual growth in 2030. Meanwhile, Indonesia economic growth consistently outperformed world growth with the most recent 5% year-on-year growth in 2024. Amid an optimistic narrative of 8% growth, the World Bank predicts Indonesia's economy would grow rather moderately at 5.1% annually in 2030.

Seaborne Trade and Sea Transportation – The UN Trade and Development (UNCTAD) forecasts that maritime trade volume will expand at an annual growth rate of 2,5% in 2025 and continue increasing at 2,3-2,5% until 2029. However, albeit prospects for maritime trade remain positive, they are dependent on how several downside risks continue to unfold, particularly trade war, heightened geopolitical tensions, and economic uncertainties. The medium-term outlook for seaborne trade is influenced by downside and upside factors. Downside factors include reduction of consumer spending, economic policy uncertainties, escalating trade tensions, and inward-looking policies. Meanwhile, upside factors include projected recovery in global trade driven by a strong export performance in major Asian economies – particularly in technology sector, fast pace trade involving developing countries including South-South trade. Locally, Indonesia sea transport GDP growth is showing a positive performance in recent quarters with 9,8% which is increasing compared to 6,87% in the first quarter. However, such increasing figures are still below pre-covid growth and 2023 growth that exceeds 10%.

Consistent Upward Trajectory in Indonesia's Port Traffic – The statistics of domestic and international ship calls in Indonesia from 2016 to 2023 – measured by both number of ships (units) and gross tonnage (in 1,000 GT) – exhibit an overall upward trend except a slight dip in 2020—likely due to global disruptions. Over 2018 to 2023, the compound annual growth rate (CAGR) for ship units is approximately 1.73%, while tonnage grew at a CAGR of 4.14%, indicating a stronger expansion in cargo capacity than vessel count. Narrowing to the last three years (2020–2023), the CAGR rises to 7.23% for units and 6.67% for tonnage, reflecting a post-pandemic acceleration in maritime activity. On average, year-on-year growth from 2016 to 2023 stands at 1.85% for ship units and 3.87% for tonnage, underscoring a consistent upward trajectory in Indonesia's port traffic and its growing role in regional logistics and trade.

Positive Trend of Sea Transport Freight – A clear year-on-year increase in all segments – domestic, import, and export – with domestic freight rising from 320.646 to 351.019 thousand tonnes, imports from 182.561 to 197.682 thousand tonnes, and exports from 641.632 to 697.624 thousand tonnes. This reflects an overall growth of 8.86% in total sea freight volume, signaling strengthened trade activity and logistical throughput. The export segment remains the largest contributor, accounting for nearly half of the total volume, while domestic freight shows the most consistent growth, underscoring the expanding role of inter-island commerce and national distribution networks.

TTM*) Financial Performance

- **Revenue Growth +19,25% YoY** Revenues rose from IDR 598,75 billion in 2Q2024 to IDR 714 billion in 2Q2025, reflecting a 19,25% increase.
- **Net Income +15,02% YoY** Income for the year reached IDR 90,02 billion, up from IDR 78,27 billion in the prior-year quarter.
- **EBITDA Expansion +9,37% YoY** EBITDA increased from IDR 151,54 billion to IDR 165,74 billion, marking a 9,37% improvement. While EBITDA growth lagged revenue acceleration, the positive trend reflects stable core profitability and ongoing efficiency initiatives.
- **Total Assets +5,31% YoY** Assets expanded from IDR 1.650 trillion to IDR 1.738 trillion, driven by strategic capital expenditures and improved working capital efficiency.
- **Equity +6,98% YoY** Shareholders' equity rose from IDR 1.289 trillion to IDR 1.379 trillion, reflecting retained earnings growth and a stronger capital base.
- **Liabilities -0,83% YoY** Liabilities declined marginally from IDR 361 billion to IDR 358 billion. This contraction, albeit modest, contributes to a healthier debt-to-equity ratio and improved financial flexibility.
- **Fixed Capital +3,96% YoY** Fixed capital increased from IDR 590 billion to IDR 614 billion, reflecting reinvestment into core infrastructure and asset renewal, both through purchase or lease acquisition.

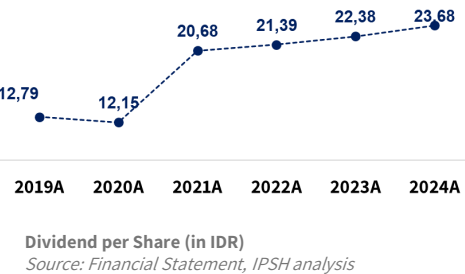
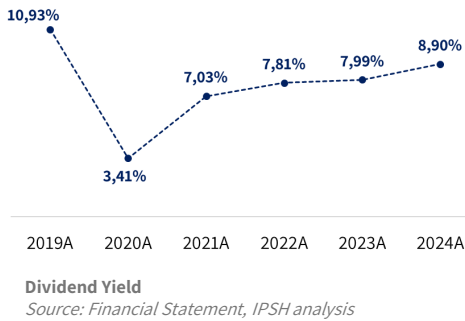
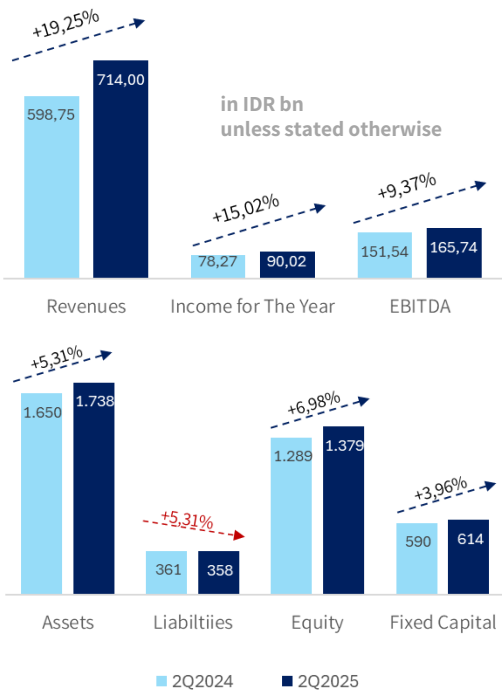
*) TTM = Trailing-Twelve-Months

Dividend Performance

Over the six-year period from 2019A to 2024A, IPCM has demonstrated a consistent commitment to shareholder returns, balancing dividend growth with prudent payout discipline. The trend reflects both earnings resilience and a maturing capital allocation strategy.

- **Dividend per Share (DPS) – Sustained Growth** IPCM's DPS rose from IDR 12,79 in 2019 to IDR 23,68 in 2024, marking an 85% increase over the period. The most notable jump occurred in 2021, with DPS surging to IDR 20,68, followed by steady growth through 2024. This trajectory signals robust profitability and a stable cash flow base, enabling IPCM to reward shareholders while funding strategic initiatives.
- **Dividend Payout Ratio – Disciplined Distribution** The payout ratio has remained within a disciplined band of 75–89%, peaking in 2020 at 89,04%—likely reflecting earnings compression during the pandemic. Since then, IPCM has recalibrated toward a sustainable range around 75%, indicating a balanced approach between reinvestment and distribution.
- **Dividend Yield – Attractive Returns** Dividend yield rebounded from a low of 3,14% in 2020 to 8,99% in 2024, supported by both DPS growth and favorable share price dynamics. The current yield positions IPCM as a compelling income-generating asset, particularly for long-term institutional holders seeking stable cash returns.

	2019A	2020A	2021A	2022A	2023A	2024A
Dividend per Share (IDR)	12,79	12,15	20,68	21,39	22,38	23,68
Dividend Payout Ratio	75,09%	80,04%	80,01%	75,02%	75,00%	75,02%
Dividend Yield	10,93%	3,41%	7,03%	7,81%	7,99%	8,90%



Financial Performance

Profit and Loss

- Revenue:** In 2020, IPCM recorded IDR 697 billion in revenue. This figure rose steadily each year, reaching IDR 1.345 billion by 2024, marking a total increase of 93% over five years. The Compounded Annual Growth Rate (CAGR) for revenue during this period was 17,98%, indicating robust and sustained top-line growth.
- Operating Income:** The company operating income grew from IDR 89 billion in 2020 to IDR 207 billion in 2024, representing a total increase of 132,62%.The CAGR for operating income was 23,62%, outpacing revenue growth and highlighting improved cost management and margin expansion.
- EBITDA:** EBITDA peaked at IDR 285 billion in 2021, followed by a normalization phase, reaching IDR 228 billion in 2024. Despite fluctuations, the overall trend remains positive, with a CAGR of 17,5% over the five-year period.
- Profit for The Year:** Net income rose from IDR 80 billion in 2020 to IDR 167 billion in 2024, more than doubling over the period. This translates to a CAGR of 19,6%, indicating strong bottom-line growth..

Breakdown of Revenue - The company revenue breakdown reveals that tug services as the backbone of financial performance. The rising share of Pilotage Services complements this core, enhancing the company role in maritime safety. Tug Services consistently dominated, ranging from 84.25% to 89.92% of total revenue between 2019 and 2024. The share increased steadily, indicating the company deepening reliance on vessel maneuvering and harbor towage. It is followed by pilotage services that grew from 3.00% in 2019A to 6,82% in 2024A,

Profitability Analysis

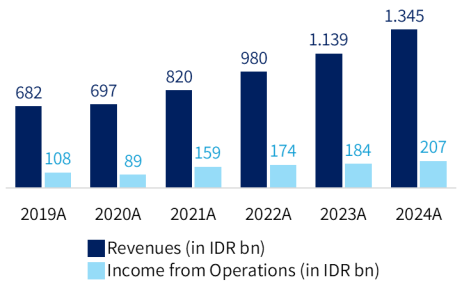
- Growth** | Revenue growth are consistently strong, ranging from ~16–19% annually, with 2Q25 showing +19.25% YoY— indicating sustained top-line expansion. Profit growth were volatile but positive overall, with notable spikes in 2020-2021, stabilizing in later years.
- Margin** | Gross margins were stable and healthy, typically above 40%, reflecting efficient cost. Operating Margin improved steadily, reaching ~15% by 2023, showing stronger operational control. Pretax and net margin hovers around 12–14%, indicating consistent bottom-line profitability.

Financial Position

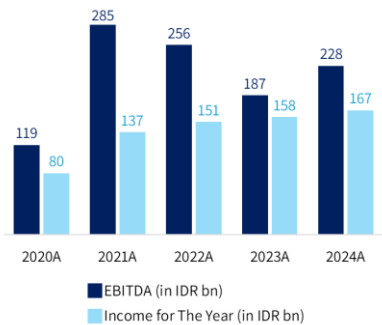
- IPCM's total assets increased from IDR 1.279 billion in 2019A to IDR 1,738 billion in 2Q2025, representing a compound annual growth rate (CAGR) of approximately 4,7%.
- Equity rose from IDR 1.079 billion in 2019A to IDR 1,379 billion in 2Q2025, growing at a slower pace than assets.
- Liabilities expanded from IDR 200 billion in 2019A to IDR 358 billion in 2Q2025, with a notable jump in 2024A to IDR 369 billion mostly due to lease commitment.
- During 2019 to 2024, IPCM investment in fixed asset and right-of-use assets grew 5,76% compoundingly from IDR 485 billion to 642 billion. The growth trajectory reflects ongoing fleet investments and infrastructure upgrades.

IPO Summary – IPCM went public on 22 December 2017 offering more than 1.215 million of its shares or equivalent to ~ 23% of ownership. The net proceeds of the IPO is IDR 439,53 billion. The majority of this proceeds ~IDR 395,58 billion is allocated for capital expenditure while the remaining ~IDR 43,95 billion is for working capital. Until 31 December 2024, the total IPO proceeds used amounted to IDR 364.05 billion (82,83%). The remainder of IDR 75,48 billion is allocated for capital investment.

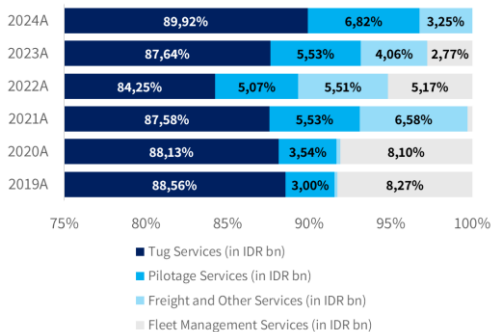
Metrics	2020A	2021A	2022A	2023A	2024A	2Q2025
Revenue Growth	2,18%	17,74%	19,51%	16,16%	18,14%	19,25%
Profit Growth	-10,90%	70,23%	10,30%	4,65%	5,82%	15,02%
Gross Margin	32,46%	30,22%	30,87%	31,70%	31,09%	22,45%
Operating Margin	12,80%	19,39%	17,75%	16,14%	15,42%	15,14%
Pretax Margin	16,03%	20,85%	18,98%	17,21%	15,92%	16,14%
Net Margin	11,52%	16,65%	15,37%	13,85%	12,40%	12,61%
Return on Asset	5,97%	9,63%	10,33%	10,47%	10,52%	5,41%
Return on Equity	7,39%	12,15%	12,81%	12,94%	13,19%	6,93%



Revenue and Operating Income
Source: Financial Statement, IPSH analysis



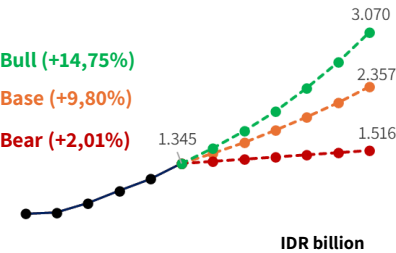
EBITDA and Net Profit
Source: Financial Statement, IPSH analysis



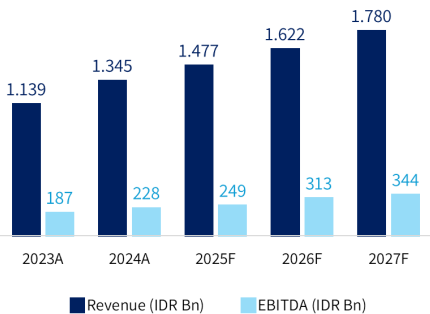
Revenue Contributor
Source: Financial Statement, IPSH analysis



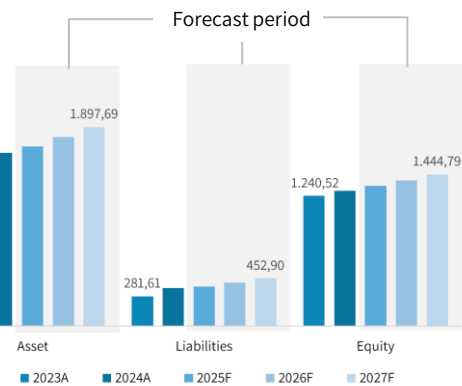
Financial Position (in IDR bn)
Source: Financial statement, IPSH analysis



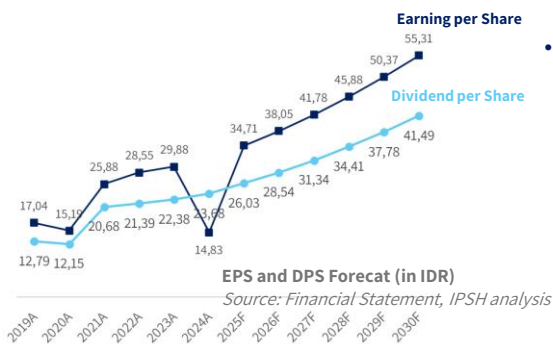
Revenue Forecast Scenario
Source: Financial Statement, IPSH analysis



Revenue and EBITDA Forecast
Source: Financial Statement, IPSH analysis



Balance Sheet Forecast (in IDR bn)
Source: Financial Statement, IPSH analysis



Valuation

DCF Valuation | Dividend Discount Model | Target Price: 404 | 32,89% Upside

The model projects IPCM’s annual dividends from 2025F to 2030F, followed by a terminal value representing the perpetuity of dividends beyond 2030. Each dividend is discounted to present value using a cost of equity of 11,13%, with dividends assumed to be paid in month 4 of each fiscal year. A terminal growth rate of 2.00% is applied to reflect long-term, sustainable expansion. The sum of discounted dividends and terminal value yields a fair equity value of IDR 2,14 trillion. Divided by the 528,8 million shares outstanding, the fair value per share is IDR 404, compared to a current market price of IDR 304—implying an upside potential of 32,89%.

DCF Valuation | Free Cash Flow to Equity | Target Price: 328 | 7,89% Upside

The FCFE model projects IPCM’s annual cash flows from 2025F to 2030F, incorporating:

- Net income growth from IDR 183.4 billion (2025F) to IDR 292,8 billion (2030F)
- CAPEX escalation from IDR 105,5 billion to IDR 162,5 billion
- Working capital and lease liability adjustments

Each year’s FCFE is discounted using a cost of equity of 11,13%, with cash flows assumed to occur in month 4 of each fiscal year. A terminal growth rate of 2,00% is applied to estimate perpetuity value beyond 2030.

The sum of discounted FCFE and terminal value yields a fair equity value of IDR 1,737 trillion. Divided by 5,28 million shares outstanding, the fair value per share is IDR 328, compared to a current market price of IDR 304—indicating an upside potential of 7.89%.

DCF Valuation | Free Cash Flow to Firm | Target Price: 288 | -5,26% Downside

The FCFF model projects IPCM’s unlevered cash flows from 2025F to 2030F, incorporating: EBITDA after tax growth from IDR 197,37 billion (2025F) to IDR 372,46 billion(2030F) and similar assumption for FCFE analysis

Each year’s FCFF is discounted using a WACC of 11,57%, with cash flows assumed to occur in month 4 of each fiscal year. A terminal growth rate of 2,00% is applied to estimate perpetuity value beyond 2030.

The sum of discounted FCFF and terminal value yields a firm value of IDR 1,531 trillion. After deducting IDR 6,735 billion in debt, the equity value stands at IDR 1,525 trillion. Divided by 5,284 million shares outstanding, the fair value per share is IDR 288 , compared to a current market price of IDR 304 —indicating a downside potential of -5,26%.

Beta, Cost of Capital, and Terminal Growth

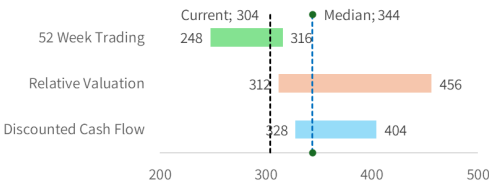
- **Cost of Equity: 11,13%** — Calculated using the CAPM, IPCM’s cost of equity incorporates: Risk-Free Rate: 6,81% (based on Indonesian government bond yields), Beta: 0,392, indicating low volatility relative to the broader market, and Equity Risk Premium (ERP): 11.04%, derived from long-term index performance (IDX: 8.125 in 2025 vs. 100 in 1983 base year). The resulting cost of equity of 11,13%
- **Cost of Debt: 13,26%** — IPCM’s cost of debt is based on a nominal interest rate of 17,00%, adjusted for a 22,00% corporate tax rate, yielding an after-tax cost of 13,26%.
- **The resulting WACC** — of 11,57% serves as the discount rate for firm-level valuation models such as FCFF, and reflects IPCM’s blended financing cost across its capital base.

Relative Valuation

We applied a relative valuation framework using interpolated and historical price multiples—namely Price-to-Revenue (P/S), Price-to-Earnings (P/E), and Price-to-Book Value (P/BV). This approach benchmarks IPCM’s projected financial performance against normalized market expectations, offering a market-aligned view of potential share price evolution.

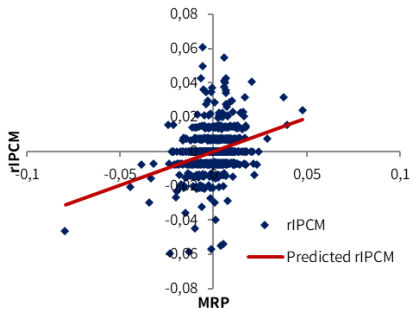
The average projected price rises from IDR 396 in 2025F to IDR 562 in 2030F, implying a CAGR of 7,27% over the six-year horizon. This valuation trajectory is supported by IPCM’s consistent revenue growth, margin expansion, and capital discipline.

We issue a BUY with target price of 344 recommendation for IPCM based on discounted cash flow valuation (DCF) – using dividend discount model (DDM) and free cash flow (FCF) analysis – and relative valuation approach



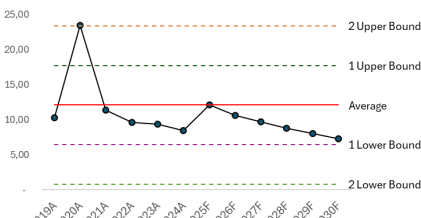
Football Field Analysis

Source: IPSH analysis



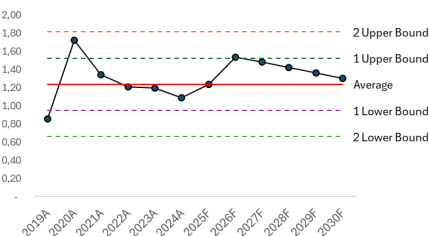
Beta Regression

Source: IPSH analysis



Price Earning Ratio Band

Source: IPSH analysis



Price to Book Value Band

Source: IPSH analysis

Financial Forecast

in IDR billion unless stated otherwise	2025F	2026F	2027F	2028F	2029F	2030F
PROFIT AND LOSS						
Total Revenues	1.476,84	1.621,57	1.780,49	1.954,98	2.146,56	2.356,93
Gross Income	458,70	503,65	553,01	607,20	666,71	732,05
Income from Operations	227,73	250,05	274,55	301,46	331,00	363,44
Income Before Corporate Income Taxes	235,18	258,23	283,53	311,32	341,83	375,33
Income for The Year	183,44	201,42	221,16	242,83	266,63	292,76
Basic EPS (in IDR)	34,71	38,05	41,78	45,88	50,37	55,31
Dividend (in IDR)	26,03	28,54	31,34	34,41	37,78	41,49
STATEMENT OF FINANCIAL POSITION						
Total Current Assets	1.024,60	1.063,59	1.104,93	1.147,18	1.196,71	1.247,96
Total Non Current Assets	686,15	736,97	792,76	854,02	921,29	995,14
Total Assets	1.710,75	1.800,56	1.897,69	2.001,20	2.118,00	2.243,10
Total Current Liabilities	368,39	402,93	443,98	485,92	535,11	585,98
Long Term Lease Liabilities	7,40	8,12	8,92	9,79	10,75	11,80
Total Liabilities	375,79	411,05	452,90	495,71	545,86	597,79
Total Equity	1.334,96	1.389,51	1.444,79	1.505,49	1.572,14	1.645,32
Market Capitalization	2.135,06	2.138,31	2.138,31	2.138,31	2.138,31	2.138,31
Enterprise Value	2.005,07	2.092,42	2.115,39	2.214,60	2.249,54	2.361,90
STATEMENT OF CASH FLOW						
Net Cash Flow - Operating Activities	166,01	211,13	308,94	262,10	364,90	323,54
Net Cash Flow - Investing Activities	-54,01	-113,83	-124,98	-137,23	-150,68	-165,45
Net Cash Flow - Financing Activities	-136,93	-146,14	-165,08	-181,26	-199,02	-218,52
Net Cash Flow	-24,92	-48,84	18,88	-56,39	15,20	-60,43
Beginning Cash Balance	473,08	448,16	399,32	418,20	361,80	377,01
Ending Cash Balance	448,16	399,32	418,20	361,80	377,01	316,58

Source: IPSH analysis

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